lasted just about ten months, as NTR won the subsequent election in mid-1994 and Rosaiah metamorphosed into a feisty opposition leader.

Rosaiah is a seasoned politician; he is a warm and friendly person too. He is also one of the most effective legislators that I had come across in my career. There were several occasions during that ten-month period when we would be in a meeting with him in his office in the assembly building when the legislative assembly was in session. Even as he would be listening to us, he would have one eye on the CCTV in his office, watching what was going on in the House. Once in a while, he would abruptly get up, excuse himself, walk into the House, reprimand the Opposition in chaste, firm Telugu with humorous overtones, and tiptoe back to his office, all in a matter of minutes, to resume where we had left off.

I spoke to Rosaiah and requested him to withdraw the microfinance ordinance because of the several practical complications it would create. I levelled with him on my apprehensions about how the Andhra Pradesh initiative might snowball across the country and jeopardize the future of the entire microfinance industry. I assured him that I would take action to comprehensively review the situation in the microfinance sector and take appropriate remedial action that would protect the borrowers, typically women who pursue an income-generating activity, without killing the microfinance industry altogether. Rosaiah did not budge though. I could understand his predicament. There was such deep rancour against the microfinance sector that it wouldn’t have been possible for any political leader, much less the chief minister of a state in a vigorous democracy like ours, to backtrack on his action in such an emotionally charged atmosphere.

I took the microfinance issue to the Reserve Bank board at its meeting in Kolkata in December 2010 where we decided to constitute a subcommittee under the chairmanship of Y.H. Malegam, one of the board’s venerable members, to study the issues in the microfinance sector, and recommend reforms in order to prevent excesses and malpractices. The Malegam Committee did a commendably thorough, competent and quick job and submitted its report in just a little over a month with a comprehensive set of